

Housing Wealth

The other major asset for most households, outside of investment portfolios and Social Security, is home equity, or housing wealth. Housing wealth can be used in a variety of ways in retirement. If care is taken to choose housing that will allow for aging in place, then housing can provide inflation protection and some protection for the uncertain costs related to long-term care. With cognitive or long-term care needs, housing could be used to put off institutional living, and then housing wealth could be redeployed to cover the costs of institutional living when it becomes necessary. With a reverse mortgage, home equity can become a liquid buffer asset which can help reduce exposure to sequence-of-returns risk or cover unexpected contingencies.

Long-Term Care Planning

One of the largest spending shocks facing a retired household is the need for ongoing long-term care. A retirement income plan must account for this, and various tools are available to help control the impacts of long-term care costs on family wealth.

The four main options for meeting long-term care needs include:

- self-funding,
- Medicaid,
- traditional long-term care insurance, and
- new hybrid insurance products that combine long-term care coverage with an annuity or life insurance.

Planning in advance for long-term care needs can help control the impact of spending shocks and cognitive decline.

Other Assets, Insurance, and Income Sources

A hodgepodge of other retirement income tools can also be a valuable source of support for retirement. Decisions made about Medicare or other